



“Minted products (coins & bars) provide tangible ownership and can be held on for large durations, are usually passed down generations and hold deep cultural significance”

Vikas Singh
MD & CEO, MMTC-PAMP

market regulations. Gold ETFs are regulated by the Securities and Exchange Board of India (Sebi), while gold bonds are regulated by the Reserve Bank of India (RBI). But there is an absence of regulation on digital gold.

That aside, among the various avenues, digital gold and gold ETFs offer higher liquidity than physical gold. They can be bought and sold swiftly on platforms. In contrast, physical gold transactions involve more time and effort.

RISK FACTOR

There are primarily three risks associated with digital or ETF-based gold investments. “Both gold ETFs and gold mutual funds share a common risk, primarily

tied to market fluctuations stemming from the potential volatility in gold prices. On the other hand, SGBs introduce a different risk factor: sovereign default risk. This risk arises because SGBs are not directly backed by physical gold; instead, they represent a derivative of gold issued by the government through the RBI,” says Shetty.

Counterparty risk: When you invest in digital gold or gold ETFs, you are exposed to counterparty risk. This means that the value of your investment is dependent on the financial health of the entity that issued the product. If the issuer goes bankrupt, your investment will be impacted. In contrast, while owning physical gold you have direct possession of the asset, eliminating counterparty risk.

Custodial risk: In digital and gold ETFs, your gold is typically held in custody by a third party. There is a risk associated with the security and reliability of the custodian. If the custodian faces operational issues or fails to safeguard the gold properly, it could jeopardise your investment. In physical gold, you have direct custody of your investment. But you still need to ensure proper storage and security measures to protect against theft or damage.

Tracking Error: ETFs may not perfectly track the price of gold because of factors like management fees, tracking errors, and market conditions. This means that the value of your investment might not precisely mirror the movements in the price of physical gold.

The value of physical gold is directly linked to market prices, and there is no tracking error here. However, selling physical gold may involve transaction costs and may not be as convenient as selling ETF investments.

WHICH IS BETTER?

The growth of digital gold and gold ETFs reflects evolving investor preferences for convenience and accessibility. But there is no one-size-fits-all answer in terms of which avenue is the best, and investors will have to use discretion while making the choice. It must be based on an analysis of which option aligns best with the investor’s specific needs.

Physical gold can serve as a meaningful heirloom to be passed down through generations or used personally. Digital gold is best for minimal investments or to avoid any issues regarding the metal’s storage and purity. And gold ETFs are great for diversification. Shetty of BankBazaar cautions that gold is a conservative investment, and its returns just about outpace inflation. There can be periods where returns could be flat or negative. It would be wise to allocate about 10% to gold in a portfolio.

Thus, investors should choose the type of gold investment as per their short- and long-term goals. For those interested in preserving wealth, physical gold might be the best choice. If liquidity and cost-effectiveness are more important, then digital gold and gold ETFs may prove more valuable. It is important to have a well-balanced portfolio that weighs the pros and cons of each gold investment option. Kulkarni of Wint Wealth suggests that gold ETFs are best for short-term sellers as they can be bought and sold during stock market hours.

Whatever the option, investors should think long and hard about the avenue that best suits their needs. **BT**

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